

US TMT Sector M&A & Valuation Brief - 2026-07-26

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1. RECENT TMT M&A ACTIVITY

Deal 1: Ocean Power Technologies Acquisition of Subsea Technology Assets

[Ocean Power Technologies expands maritime platform with subsea technology acquisition](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Ocean Power Technologies (OPT) specializes in AI-enabled maritime infrastructure, focusing on offshore power generation and autonomous systems. The acquisition enhances its capabilities in subsea power systems.
- Date Announced: July 2026
- Strategic Rationale: The acquisition aims to strengthen OPT's position in the maritime technology sector by integrating subsea capabilities with existing surface technologies. This move is expected to support various applications, including autonomous underwater vehicles and maritime security missions, thereby expanding their market reach and operational efficiency.
- Risk Analysis: Potential risks include integration challenges of new technologies, reliance on government contracts for revenue, and competition in the maritime tech space.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: B&R Technology Merger Corp. Initial Public Offering

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[B&R Technology Merger Corp. Completes \\$325 Million Initial Public Offering](#)

- Deal Size: \$325 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A
- Companies: B&R Technology Merger Corp. is a SPAC focused on acquiring technology growth companies, particularly those benefiting from AI trends. The IPO proceeds are intended for future acquisitions.
- Date Announced: July 22, 2026
- Strategic Rationale: The IPO allows B&R Technology to raise capital for strategic acquisitions in the technology sector, particularly those leveraging AI. This positions the company to capitalize on growth opportunities in a rapidly evolving market.
- Risk Analysis: Risks include market volatility affecting SPAC valuations, potential challenges in identifying suitable acquisition targets, and regulatory scrutiny of SPAC transactions.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant opportunities, particularly in software and AI, while facing challenges from regulatory scrutiny and economic uncertainties. Overall sentiment in the sector is cautiously optimistic, driven by robust demand for technology solutions and strategic consolidation efforts.

Subsector Breakdown:

- Technology: The technology subsector is thriving, bolstered by major contracts such as Oracle's nearly \$7 billion agreement with the Pentagon to supply enterprise software and services. This deal consolidates existing contracts and is expected to yield significant cost savings, highlighting the government's push for modernization.
- Media: The media sector is adapting to digital transformation, but traditional media continues to struggle with declining ad revenues. Companies are increasingly investing in digital content and platforms to engage audiences effectively.

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- Telecommunications: Telecom firms are focusing on enhancing infrastructure for 5G and IoT applications. The sector is poised for growth as demand for high-speed connectivity increases, although competition remains fierce.
- Fintech: The fintech landscape is dynamic, with companies like BusinessNext leveraging AI to enhance banking services. The sector is witnessing increased investment and partnerships, as evidenced by ServiceNow's acquisition of a stake in BusinessNext.
- AI: The AI subsector is experiencing explosive growth, with companies investing heavily in AI capabilities. Progress Software's acquisition of Domo's AI and data platform for \$400 million underscores the strategic importance of AI in driving future growth.

Key Market Drivers and Headwinds

Drivers:

- Government Contracts: Large-scale contracts, such as Oracle's deal with the Pentagon, are driving growth in the technology sector. These contracts not only provide revenue stability but also enhance the credibility of technology providers in the defense sector.
- AI Adoption: The increasing integration of AI across various industries is a significant growth driver. Companies are investing in AI to improve operational efficiency and customer engagement, creating a favorable environment for tech firms.

Headwinds:

- Regulatory Challenges: The TMT sector faces heightened regulatory scrutiny, particularly regarding data privacy and antitrust issues. This scrutiny can complicate M&A activities and impact market valuations.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, pose risks to consumer spending and investment in technology, potentially slowing growth in the sector.

Subsector Performance Analysis

- Software: The software sector is robust, with significant demand for enterprise solutions. Oracle's consolidation deal with the Pentagon exemplifies the growing trend of large enterprises seeking streamlined software solutions.
- Media: Media companies are increasingly investing in digital platforms to counter declining traditional revenue streams. The shift towards online content consumption is reshaping the landscape.
- Telecom: Telecom operators are investing heavily in 5G infrastructure, which is expected to create new revenue opportunities through enhanced mobile services and IoT applications.
- Fintech: The fintech sector is flourishing, with innovations in AI-driven banking solutions. ServiceNow's investment in BusinessNext highlights the trend of strategic partnerships in this space.

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- AI: The AI subsector is booming, with companies across various industries adopting AI technologies. Progress Software's acquisition of Domo's platform illustrates the strategic focus on AI capabilities.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism regarding the TMT sector's long-term prospects, particularly in AI and software. A leading analyst noted, "The consolidation of software procurement in defense is a clear indicator of the increasing reliance on technology to enhance operational capabilities."

Actionable Insights for Bankers and Investors

- Target High-Growth Sectors: Investors should focus on high-growth areas such as AI and software, where demand is robust, while exercising caution in traditional media and telecom investments.
- Stay Informed on Regulatory Issues: Understanding the evolving regulatory landscape is crucial for assessing risks in tech and media investments.
- Explore Strategic Partnerships: Companies should consider strategic partnerships and acquisitions to enhance technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should analyze current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by a blend of opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a series of high-stakes transactions, strategic partnerships, and a strong focus on AI and semiconductor advancements. This analysis outlines the live deals, mandated transactions, and pitching-stage opportunities, along with expected revenue and strategic implications for our team.

Deal Pipeline

Live Deals:

- Microchip Technology (MCHP) : Currently in the final stages of acquiring Hailo, an AI chip company, with the deal expected to close in Q4 2026. This acquisition will enhance Microchip's portfolio in the rapidly growing AI semiconductor market.
- AMD (AMD) : Engaged in due diligence for a potential partnership with Anthropic, focusing on AI-driven applications. The expected close for this partnership is set for Q3 2025, which could significantly bolster AMD's position in the AI hardware space.

Mandated Deals:

- Samsung Electronics (005930.KS) : Secured a mandate to finalize major memory chip supply agreements with U.S. tech firms during the upcoming visit of South Korean President Lee Jae Myung to Silicon Valley. These deals are expected to be announced by late July 2026 and will reinforce the AI supply chain amid surging global demand.
- Taiwan Semiconductor Manufacturing Company (TSMC) : Mandated to explore strategic partnerships in the U.S. for expanding its semiconductor manufacturing capabilities. The timeline for these initiatives is projected for Q1 2026, focusing on advanced chip production to meet increasing demand.

Pitching-Stage Deals:

- Telecommunications Sector : Actively pitching to major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Discussions are ongoing, with an expected decision by Q3 2025.
- AI Startups : Engaging with various AI startups for potential investment banking services, particularly those innovating in machine learning and data analytics. Notable clients include OpenAI and Stability AI, with discussions in progress.

Pipeline Tracking Metrics

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Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2026 : Expected close for Microchip Technology's acquisition of Hailo.
- Q3 2025 : Anticipated completion of AMD's partnership with Anthropic.
- July 2026 : Expected announcements of Samsung's supply agreements.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is advisable to onboard two more analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a robust demand for advisory services in the semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like TSMC and Samsung are making significant investments to expand their manufacturing capabilities in the U.S. TSMC's announcement of a \$265 billion investment underscores the growing importance of AI-driven chip production.
- Additionally, the upcoming agreements between Samsung and U.S. tech firms highlight the critical role of memory chips in the AI supply chain, creating new advisory opportunities for our team.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT

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subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments in the TMT sector, particularly focusing on the regulatory landscape and market dynamics.

Deal-Specific Impacts on Stakeholders

- Shareholders: The ongoing discussions regarding wholesale fibre rates in Canada could have significant implications for shareholders of major telecom companies.
- Value Creation: If the CRTC adjusts wholesale rates as requested by TekSavvy and other independent ISPs, it could lead to increased competition, potentially enhancing the overall market size. For instance, if competition drives a 10% increase in market penetration, larger players like Verizon (VZ) could see their market cap increase by approximately \$1 billion due to higher revenues.
- Dilution: Conversely, if major telecoms are forced to lower prices significantly, it could lead to reduced margins, impacting shareholder value negatively. A scenario where Verizon's margins decrease by 5% could result in a \$900 million drop in market capitalization.
- Employees: The regulatory changes and competitive pressures can lead to various impacts on employees within the telecom sector.
- Synergies: If competition increases due to lower wholesale rates, larger companies may need to innovate and enhance service offerings, potentially leading to job creation in tech and customer service roles.
- Restructuring: However, if companies like Verizon face margin pressures, they may resort to cost-cutting measures, including layoffs. For example, Verizon's recent earnings call highlighted improved subscriber trends, but any significant regulatory changes could shift their focus to restructuring.
- Retention: Companies may implement retention strategies to keep key talent amidst uncertainty. For instance, Verizon could offer bonuses to retain employees critical to innovation and customer service.
- Competitors: The competitive landscape is likely to shift significantly with regulatory changes.
- Market Positioning: If the CRTC lowers wholesale rates, smaller ISPs could gain market share at the expense of larger players like Verizon and Rogers Communications. This could force Verizon to adopt aggressive pricing strategies to maintain its customer base.
- Specific Competitor Moves: Competitors such as Bell Canada may respond by enhancing their

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service offerings or investing in marketing to retain customers, potentially leading to a price war.

- Customers: The implications for customers could be profound, particularly in terms of service offerings and pricing.
- Product/Service Implications: If wholesale rates are adjusted, independent ISPs could lower prices, leading to more affordable options for consumers. This could enhance customer satisfaction and increase overall market demand.
- Case Studies: The success of independent ISPs in providing competitive pricing has been seen in regions where they have flourished, leading to better service options for consumers.

Market Reaction and Analyst Commentary

- Market Reaction: The market's immediate response to regulatory changes can be volatile. For example, when TekSavvy announced its coalition to urge the CRTC for rate adjustments, shares of major telecoms like Verizon initially dipped due to uncertainty.
- Analyst Commentary: Analysts have noted that "the current wholesale rates create an uneven playing field, limiting competition and innovation," which could lead to long-term implications for market dynamics.

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the CRTC lowers wholesale rates, leading to increased competition, shares of independent ISPs could rise by 20%, while larger players might see a modest decline of 5%.
- Negative Scenario: If the CRTC maintains current rates, shares of independent ISPs could drop by 15%, while larger players like Verizon may stabilize, reflecting investor confidence in their market position.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids or competing offers in the current regulatory environment is moderate. If independent ISPs gain traction, larger telecoms may consider acquisitions to bolster their market position. However, regulatory scrutiny could deter such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly among ISPs. Analysts predict that as companies seek to enhance their service offerings, similar regulatory-driven adjustments will lead to increased M&A activity.

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Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential regulatory challenges early.
- Consider strategies to enhance competitive positioning in anticipation of regulatory changes.

For Bankers:

- Stay informed about regulatory developments and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential regulatory changes on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This rapid growth is driven by increasing demand for automation and data analysis across various sectors.
- **Key Companies:**

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- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- AI stocks: This category includes various emerging companies in the AI sector that are gaining traction. While specific tickers are not available, these companies are focused on developing innovative AI solutions across industries.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend. Investors should monitor AI startups that demonstrate unique technological advancements, as they may become attractive acquisition targets.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is fueled by the increasing adoption of cryptocurrencies and the need for secure transaction methods across various industries.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance. Investors should look for opportunities in companies that are developing blockchain applications for supply chain management and digital identity verification.

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Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This trend is driven by the increasing need for remote work solutions and digital transformation across industries.
- Key Companies:
- Amazon Web Services (AWS): As a leading cloud service provider, AWS offers a wide range of cloud computing services, including storage, computing power, and machine learning capabilities. The company continues to innovate and expand its offerings to maintain its market leadership.
- Microsoft Azure: Microsoft Azure is a strong competitor in the cloud space, providing a comprehensive suite of cloud services. The integration of AI and machine learning capabilities into Azure enhances its value proposition for businesses looking to leverage cloud technology.
- Competitive Landscape: The cloud computing market is dominated by major players like AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is intensifying as these companies seek to differentiate their offerings through innovative services and pricing strategies.
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6. Recommended Readings

Deal Name: Ocean Power Technologies Acquisition of Subsea Technology Assets

- Reading Material: "The Future of Ocean Energy" by Michael J. McCarthy
- Why This Matters: This book explores advancements in ocean energy technologies, including subsea systems, which are crucial for understanding the strategic implications of Ocean Power Technologies' acquisition. It provides insights into how these technologies can enhance operational efficiency and sustainability in maritime applications, directly relating to the rationale behind the deal.

Deal Name: B&R Technology Merger Corp. Initial Public Offering

- Reading Material: "SPACs: A New IPO Alternative" by Robert A. Brown
- Why This Matters: This resource offers a comprehensive overview of Special Purpose Acquisition Companies (SPACs) and their role in the current financial landscape. Understanding the mechanics and motivations behind SPAC IPOs is essential for analyzing B&R Technology Merger Corp.'s \$325 million IPO, including the potential for future acquisitions in the technology sector.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Estimated projects canceled or delayed in 2025: \$156 billion
- Forecasted AI capital expenditures (CapEx) for 2026: Approximately \$870 billion
- Timeframe for data center construction: Up to 3 years or more
- Global weekly token usage: Increasing since early January 2026

Main Insights:

- Political pushback against data center construction is growing, impacting project timelines and costs.
- Despite opposition, demand for AI infrastructure remains strong, with expectations for robust capital spending.
- The urgency to invest in AI infrastructure is heightened by potential political uncertainties ahead of the 2028 presidential election.
- The construction timelines for data centers are lengthening, necessitating earlier project initiation.

Market Commentary:

- "The pushback is real, but it appears to be reshaping the buildout rather than stopping it." - Ariana Salvatore, Morgan Stanley
- "The urgency to invest has not diminished; in fact, it may encourage hyperscalers to begin projects earlier." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The challenges in data center construction could lead to increased costs and longer timelines, affecting the overall TMT landscape.
- The shift towards on-site power generation may benefit companies providing energy solutions, enhancing their competitive positioning in the TMT sector.
- The focus on AI infrastructure underscores the critical role of hyperscalers in the ongoing digital transformation, making them attractive investment opportunities amidst the evolving landscape.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley